Minutes

The Board of the Central Bank of Armenia

(23.12.2014)

The December 23, 2014 Refinancing Rate

The December 23, 2014 Board meeting attended by chairman Arthur Javadyan, deputy chairman Nerses Yeritsyan, and board members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vakhtang Abrahamyan

The meeting began with presentation of Situation Report as of December 23, 2014, and current developments in inflation, external, real, fiscal and monetary sectors were discussed.

Inflation in November of 2014 was 1.3% compared with 0.9% inflation recorded for the same period last year, with the 12-month inflation rate having increased to 2.6% at the end of the month. The November inflation was primarily due to a 3.2% increase in prices of food products (with 1.7 percentage point contribution). Price increases were highest in groups such as "fruits" and "vegetable and potatoes", 10.4% and 13.3%, respectively, with a total 1.2 percentage point contribution to inflation. In November 2014, the 12-month core inflation was 1.5%.

The current developments of the domestic economy in the fourth quarter of 2014 suggest that the economic growth rate is expected to be within its target, drifting in the 3.1-3.6% range by the end of the year. The private consumption and private investment were primarily in line with the previous quarter’s trends. Remittances inflowing from the main trading partner countries continued reducing due to slowing economic growth in Russia and depreciating Russian ruble. At the same time, the impact of the fourth quarter’s fiscal policy on aggregate demand is estimated to be slightly contractionary.

According to January-November 2014 results, exports (trade statistics, FOB), relative to the same period last year, have increased by 2.7%, and imports (trade statistics, CIF), by 2.1%. In the meanwhile, net inflow of non-commercial transfers of individuals via the banking system has decreased by 3.9% y/y.

The Board also discussed financial market developments in the light of dramatic developments in the foreign exchange market in December and the Central Bank's response to them. Thus, as of December 22, 2014, relative to the previous month, the monthly average interest rate on interbank repo has grown by 12.7 percentage points and amounted to 19.8%, and the average rate of exchange traded interbank loans, by 12.8 percentage points, to 20.0%.

In the foreign exchange market of Armenia in November-December of 2014, the Dram’s exchange rate behaved in noticeably volatile manner, which was driven by a sharp depreciation of the Russian ruble and a reduced inflow of remittances. As of December 22, 2014, the average AMD/USD was 462.4 drams, having depreciated by 9.1%; the AMD/EUR was 572.0 drams, having depreciated by 8.4%; and the average AMD/RUB was 8.1 drams, having appreciated by 11.7%.

In the fourth quarter of 2014, global economic growth remained slow, mainly due to a significant slowdown of economic growth in developing countries, whereas the U.S. economy further made progress in economic activity. However, uncertainties associated with geopolitical developments and economic growth prospects in developing countries persisted. Under such conditions, international markets of commodities and food products performed mostly in line with deflationary patterns in the fourth quarter. The food price index published by Food and Agriculture Organization, FAO, on December 4th, was much the same in November compared to the previous month's index, as it dropped a mere 0.05% (compared to the same period of the previous year, the index has fallen by 6.4%).

According to the Central Bank estimations, in the fourth quarter of 2014 the export price of hard red wheat (the US Department of Agriculture) will fall by 2.1% q/q (a 16.5% y/y decrease) and the New York Board-Intercontinental Exchange (NYB-ICE) traded raw sugar price will drop by 0.1% q/q (a 10.1% decrease). Moreover, according to the estimations, the price of Brent crude oil traded at Intercontinental Exchange (ICE) will decrease by an average 24.5% against the previous quarter (representing a 29.6% y/y reduction), whereas the copper price traded at the London Metal Exchange will reduce by 5.6% q/q (representing a 8.1% y/y decrease).

According to the Central Bank estimations, in the fourth quarter of 2014, Euro depreciated versus the US dollar by 5.6%; relative to the same period of the previous year, the depreciation was nearly 8.1%.

After the discussion of Situation Report, the Board began addressing external and domestic macroeconomic developments and the monetary policy directions.

The Board admits that accelerating growth rates of the U.S. economy, which led to expectations for further increase in interest rates in the U.S.A., was among the latest developments in the external sector. This triggered a capital flow from developing countries to the U.S.A., resulting in slowdown of economic growth rates and depreciation of currencies in main developing countries. Almost all developing countries responded to this event through a certain rise in interest rates, while moderating the inflationary pressures. The falling of commodity prices, and the oil price in particular, as well as the geopolitical issues have contributed to the negative expectations of the Russian economy and depreciation of the Russian ruble and the currencies of other post-Soviet countries.

The aforementioned developments in the global and regional economies also influenced the Armenian economy – reduced foreign currency flows from the rest of the world exerted depreciation pressures in the domestic currency market. The speed at which prices of certain goods grew on the back of depreciating local currency brought in destabilized inflation expectations, which led to a sharp increase in demand for goods and foreign currency and significant additional inflationary pressures. Although the 12-month inflation rate is expected to stay within the confidence band by the end of the year, the Board of the Central Bank finds it appropriate to increase the refinancing rate in order to ease future inflationary pressures and anchor existing inflation expectations around the target.

In the upcoming period, as external and domestic economic developments unfold, the Central Bank will adjust the directions of monetary policy, while further attaining the inflation target in the medium term.

At the December 23, 2014 meeting, the Board of the Central Bank decided to raise the Refinancing Rate by 1.75 pp to 8.5%, with Lombard Repo and Deposit Facility rates increased to 20.0% and 7.0%, respectively.

Press Service of the Central Bank